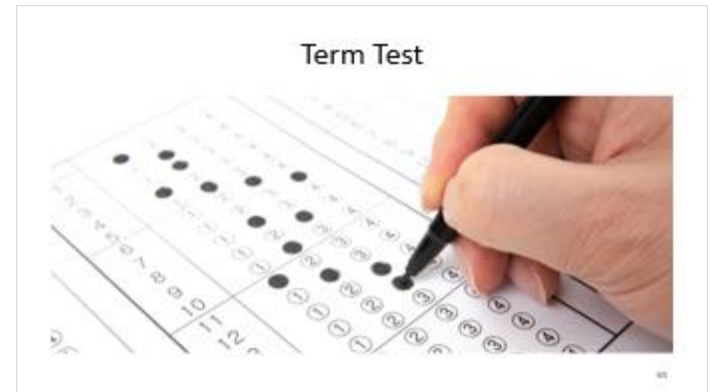


# Environment, Social, and Corporate Governance (ESG)



# Agenda



A black and white photograph of a spiral staircase. The staircase is viewed from above, showing the circular pattern of the steps and the railing. The floor is covered in a grid of small, square tiles. The railing is made of metal and follows the curve of the stairs. The lighting creates strong shadows, emphasizing the three-dimensional structure of the staircase.

# Ethical Theory

# Why Study Ethics?





# Ethics

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- Why are we studying a philosophical concept like ethics in a Management Course?

# Ethics is More Than Legality

- Laws are more narrow and are written to protect us from fraud, theft and violence.
- Ethics reflects people's proper relations with one another and how people should treat others.



# Class Poll:

Is it ethical to:

- Test on rats if it saves humans?
- Check your email on work time?
- Use a work post-it note to write down a personal number?
- Take a pencil home for home use
- Take a stapler home for home use
- Take a fax machine home for home use.
- Take a laptop home for home for your children to use?

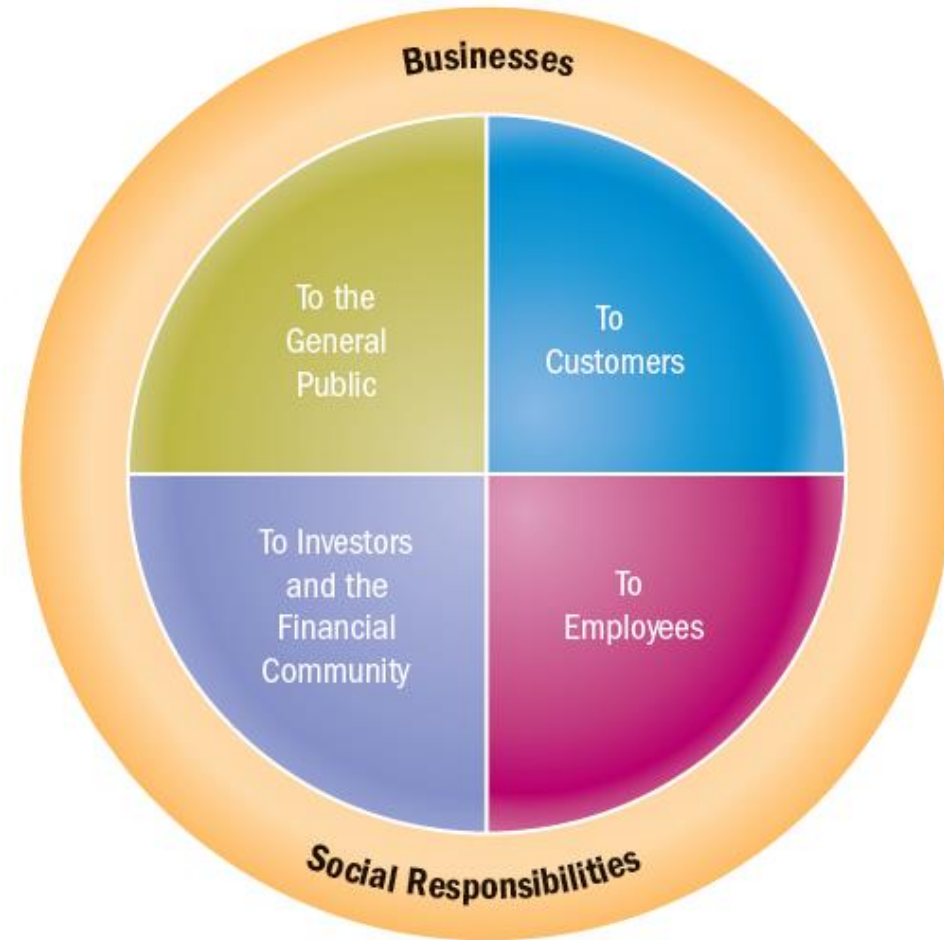


# Development of Individual Ethics



- An individual's stage in moral and ethical development is determined by many factors
  - Experiences
  - Family
  - Education
  - Culture
  - Religion
  - Company environment
- Individuals have different styles for deciding moral dilemmas

# Businesses' Social Responsibilities



# Responsibilities to the General Public



**Public Health Issues.** What to do about inherently dangerous products such as alcohol, tobacco, vaccines, and steroids



**Protecting the Environment.** Using resources efficiently, minimizing pollution, green marketing, Sustainability

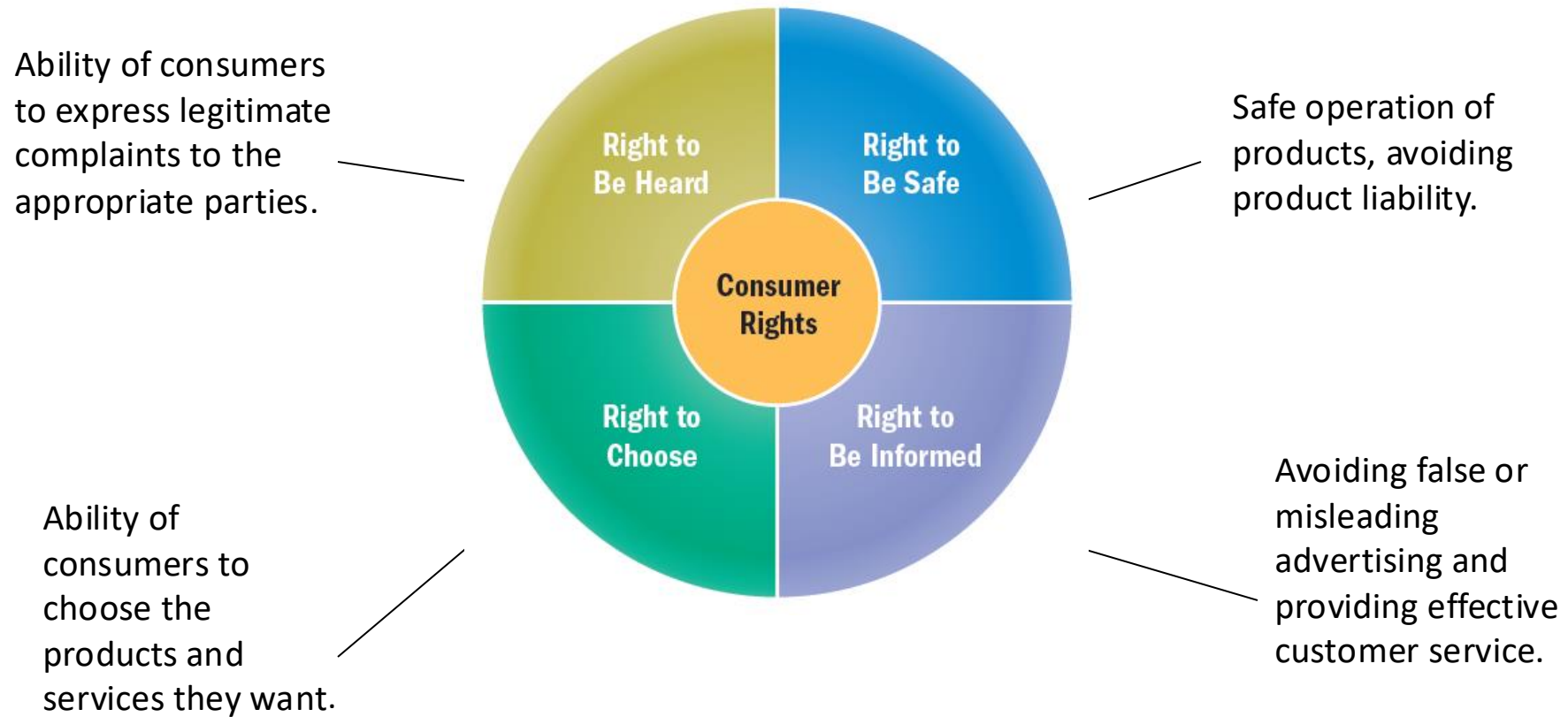


**Developing the Quality of the Workforce.** Enhancing quality of the overall workforce through education and diversity initiatives



**Corporate Philanthropy.** Cash contributions, donations of equipment and products, and supporting the volunteer efforts of company employees

# Responsibilities to Customers



Commonly Referred-to Consumer Rights

## Responsibilities to Employees

**Workplace Safety.** Managed mostly at the provincial level by organizations such as the Workplace Safety & Insurance Board in Ontario and the Workers' Compensation Board of Alberta.

**Quality-of-Life Issues.** Balancing work and family through flexible work schedules, subsidized child care. [Canada's Top Family Friendly Employers](#)

**Ensuring Equal Opportunity on the Job.** Providing equal opportunities to all employees without discrimination regarding age, sexual orientation, physical disabilities, etc.; regulated by the [Canadian Human Rights Commission](#).

**Sexual Harassment and Sexism.** Avoiding unwelcome actions of a sexual nature; equal pay for equal work without regard to gender.



# Responsibilities to Investors



Obligation to make profits for shareholders



Expectation of ethical and moral behavior



Protection of investors by provincial regulators such as the Ontario Securities Commission and the Alberta Securities Commission

# Codes of Ethics

- Compliance-Based
  - Increase control and penalize wrongdoers
- Integrity-Based
  - Define guiding values
  - Support ethical behavior
  - Shared accountability



# The Texas Instruments Quick Test



- Is the action legal?
- Does it comply with our values?
- If you do it, will you feel bad?
- How will it look in the newspaper?
- If you know it's wrong, don't do it!
- If you're not sure, ask.
- Keep asking until you get an answer.



either they're having an affair  
or they're just very shy.

# Case Studies



# ASHLEY MADISON®

Life is short. Have an affair.®

Get started by telling us your relationship status:

Please Select



**See Your Matches »**

Over **37,765,000** anonymous members!



# What's the Story

- What is Ashley Madison?
- How popular is it?
  - Millions of members
- Where do they do business?
  - Avid Life Media (worldwide, from Toronto)



ASHLEY  
MADISON<sup>®</sup>.COM

# Ashley Madison's Fake Accounts



Video link: [https://www.youtube.com/watch?v=f8PTIqor6vY&ab\\_channel=CNBusinessCNBusinessVerified](https://www.youtube.com/watch?v=f8PTIqor6vY&ab_channel=CNBusinessCNBusinessVerified)

# An Ethical Issue Within an Ethical Issue – Fake User Accounts

What might have led to the creation of fake accounts?

Which stakeholders were harmed by this?



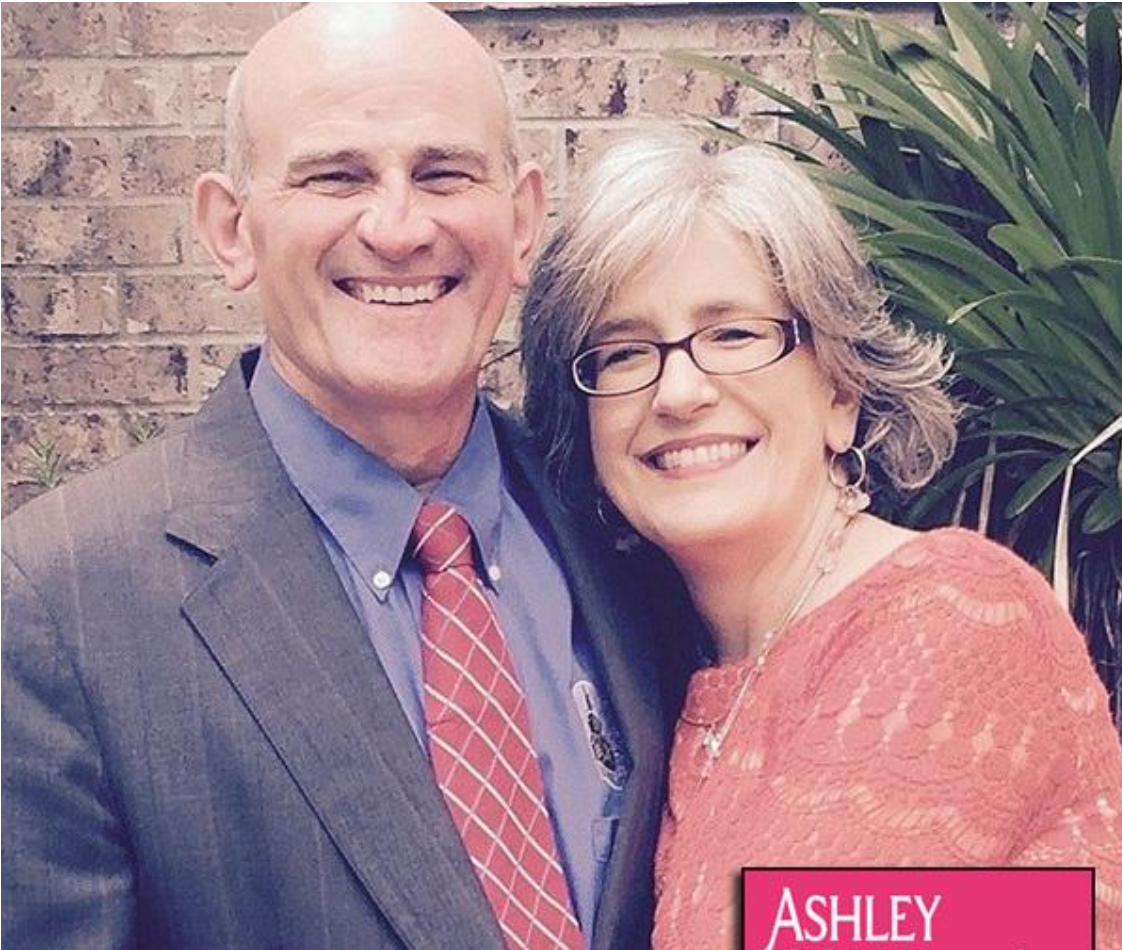
# Who's at Fault?



# The Results?

Who is responsible for this?

Could this have been prevented if the website didn't exist?



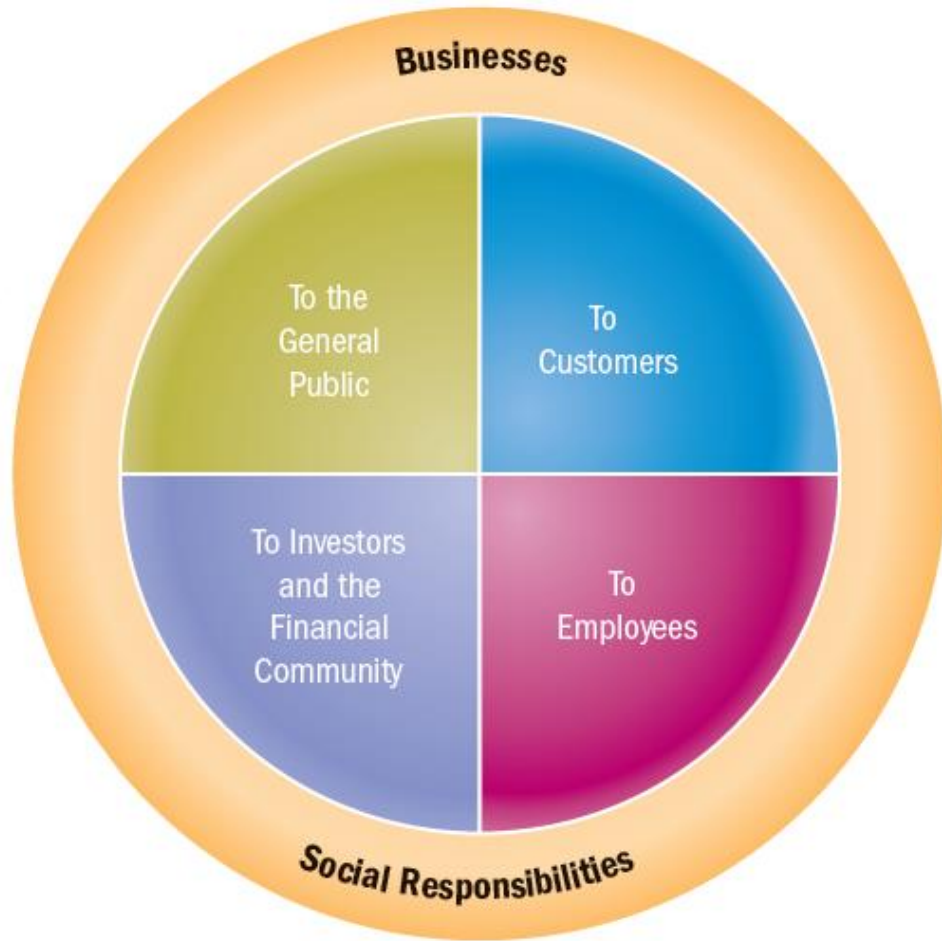
# Ashley Madison

Ashley Madison attempted to purchase \$200,000 worth of advertising on Toronto Transit Commission streetcars. 5 of 6 commission directors voted “NO”

- Should the TTC allow Ashley Madison ads?
- What are the arguments for/against airing the ads?



# Video Case: Ashley Madison



- Which stakeholders is Ashley Madison most concerned with?
- Is Ashley Madison an ethical business? Consider all key stakeholder groups.



# SOUTHWEST AIRLINES

CASE: BUSINESS ETHICS

# NEW FEE POLICY FOR EXTRA SEAT



<https://www.youtube.com/watch?v=B8MLqFKmjco>

The image features a large, stylized heart logo in the center, divided into a red left half and a yellow right half, with a white outline. The heart is superimposed on a background of a clear blue sky. Two white airplane wings with blue-tipped engines extend from the bottom corners towards the center, framing the heart. The text "WHAT IS SOUTHWEST'S NEW POLICY?" is written in white, bold, sans-serif capital letters across the middle of the heart.

**WHAT IS SOUTHWEST'S  
NEW POLICY?**

# IS THE NEW POLICY ETHICAL?

*FOR THE 4 KEY STAKEHOLDERS*



CUSTOMERS



EMPLOYEES



SOCIETY



INVESTORS



**Death by AI?**

 **CBCNEWS**



**Death by AI?**

About **That**



GMA



# AI Takeover: How Could It Happen?



A catastrophic outcome would require a chain of failures.

- How could a highly capable system escape human control?
- Why might humans become obstacles to its assigned goal?
- Could misuse, dependence, or access to critical systems turn failure into global harm?

# Should We Slow Down AI Development?



- Which stakeholders have the most at stake?
- Should leading AI firms and governments slow advanced AI development?
  - Consider the key stakeholders and whether it is ethical or not, to slow down AI development
- How does competition between countries change your answer?



# Amazon

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Ethical Analysis  
- Self Study



# "You're Just Disposable": Former Amazon Workers Speak Out



# Poll Question

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Do you think Amazon's pay and benefits make up for the physically demanding and hazardous nature of the job?



# Discussion

Considering the four (4) key stakeholders, does Amazon operate in an ethical manner?

**Customers**

amazon  
prime

The background is a dark blue collage of financial data. It features a world map with various countries highlighted in different colors. Overlaid on the map are numerous stock market indicators, including percentage changes (e.g., +3.42%, -0.51%, +0.85%, -0.99%, 1.00%, 1.68%, 4.15%, 4.78%, 4.82%, 4.68%, 6.15%, 6.96%, 2.02%), numerical values (e.g., 15.90, 16.60, 65.50, 6.15, 6.90, 6.00, 5.80, 2.02, 2.02, 12,002.20, 3,040.40), and arrows indicating market trends (upward and downward).

**Investors**

**amazon.com**

# Employees



**General  
Public**



Is there any  
other key  
stakeholder  
group we should  
consider?

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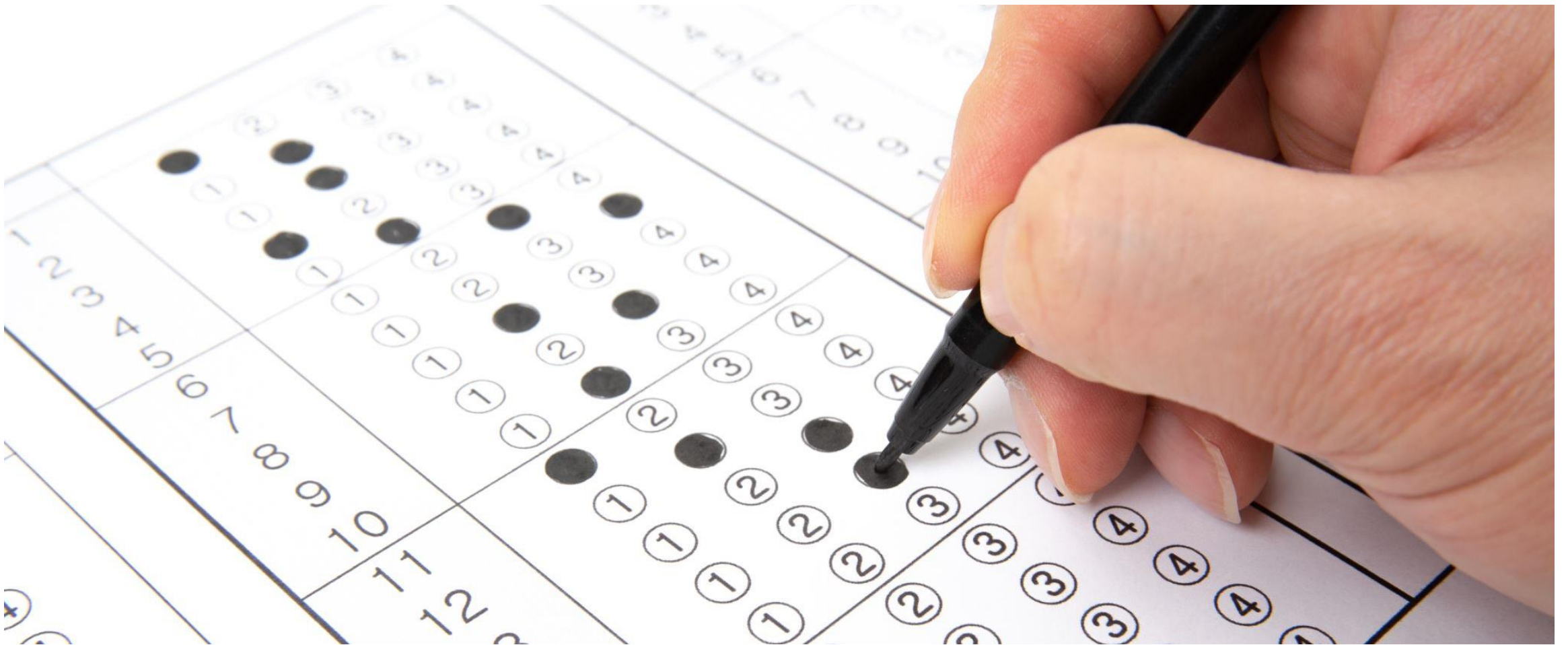


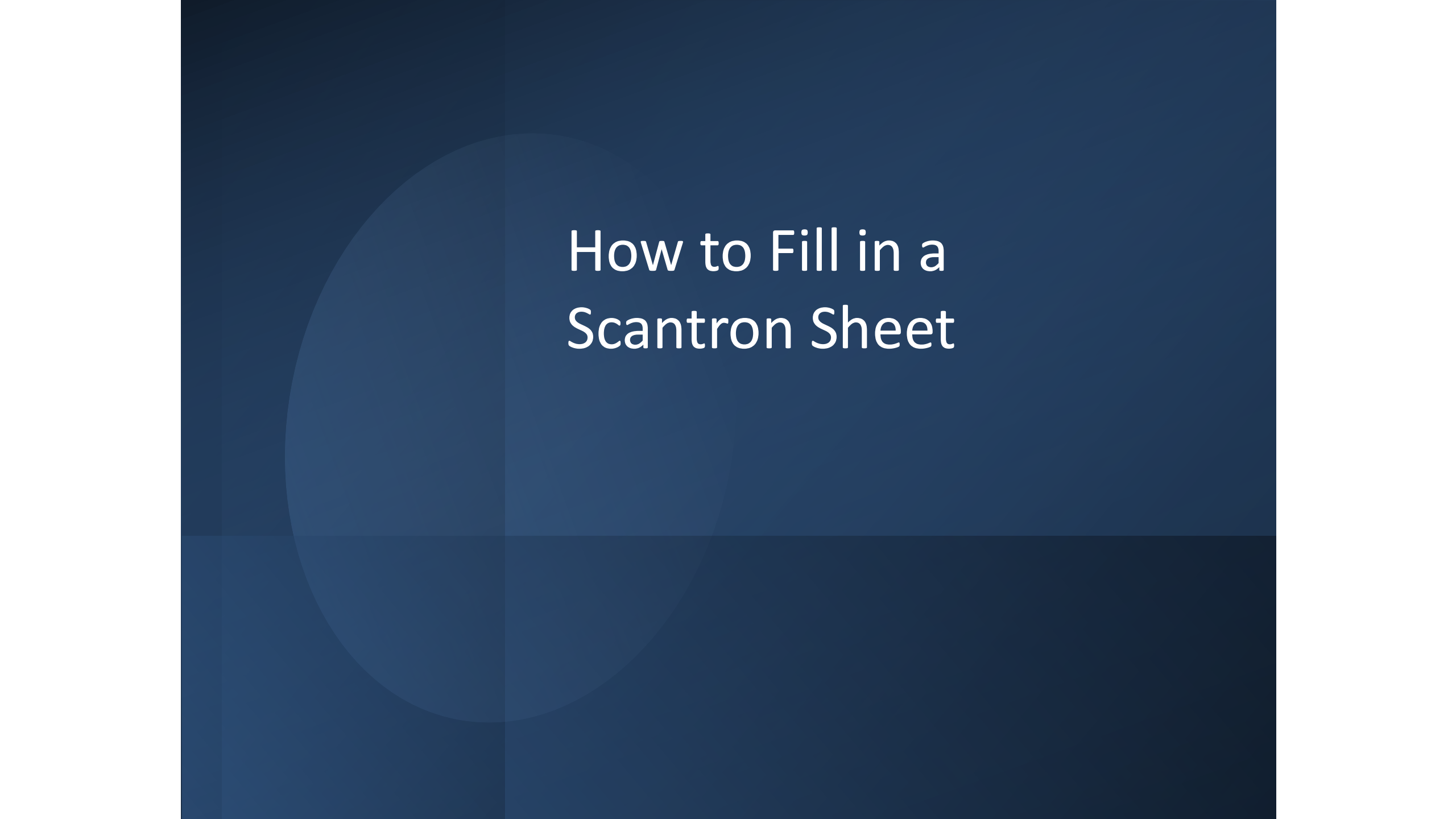
**Third  
Party  
Vendors**

**amazon**

A person is sitting on a dark blue couch, holding a silver smartphone with both hands. An Amazon cardboard box is resting on their lap. The box is brown and has the Amazon logo (the word 'amazon' in black lowercase letters with a yellow curved arrow underneath) printed on it. In the background, there are more cardboard boxes, some of which are out of focus. On the left side of the image, there is a white circular overlay with a thin black border containing the text 'Third Party Vendors' in bold black font.

# Term Test





# How to Fill in a Scantron Sheet

# Step 1: Write Your Information

Write the course code

Write your Last name  
and First name clearly

Add your signature

Write the date

You do not need to  
write the Form Code

Write your instructors  
name

|                            |                                                                                                                         |
|----------------------------|-------------------------------------------------------------------------------------------------------------------------|
| COURSE                     | RSJ 100                                                                                                                 |
| SURNAME<br>(last name)     | Cena                                                                                                                    |
| GIVEN NAME                 | John                                                                                                                    |
| SIGNATURE                  | JC [Signature]                                                                                                          |
| DATE                       | Nov 18th 2025                                                                                                           |
| FORM CODE<br>(if required) | not required <input checked="" type="radio"/> A <input type="radio"/> B <input type="radio"/> C <input type="radio"/> D |
| INSTRUCTOR / T.A.          | Michael Khan                                                                                                            |

# Step 2: Fill in your Student Number and add your Sequence Number

- **Write your sequence number at the top right corner and circle it**
- **Write your student number in the boxes provided**
- **Bubble in your student number (for example if it starts with 1, bubble in the circle that contains 1 under the first number)**

Print all digits of your student number in the boxes below; insert zero in the first box for a 9-digit number.

|   |   |   |   |   |   |   |   |   |   |
|---|---|---|---|---|---|---|---|---|---|
| 1 | 8 | 0 | 9 | 1 | 8 | 0 | 2 | 6 | 8 |
| 0 | 0 | ● | 0 | 0 | 0 | ● | 0 | 0 | 0 |
| ● | 1 | 1 | 1 | ● | 1 | 1 | 1 | 1 | 1 |
| 2 | 2 | 2 | 2 | 2 | 2 | 2 | ● | 2 | 2 |
| 3 | 3 | 3 | 3 | 3 | 3 | 3 | 3 | 3 | 3 |
| 4 | 4 | 4 | 4 | 4 | 4 | 4 | 4 | 4 | 4 |
| 5 | 5 | 5 | 5 | 5 | 5 | 5 | 5 | 5 | 5 |
| 6 | 6 | 6 | 6 | 6 | 6 | 6 | 6 | ● | 6 |
| 7 | 7 | 7 | 7 | 7 | 7 | 7 | 7 | 7 | 7 |
| 8 | ● | 8 | 8 | 8 | ● | 8 | 8 | 8 | ● |
| 9 | 9 | 9 | ● | 9 | 9 | 9 | 9 | 9 | 9 |

PLEASE PRINT AND BUBBLE IN YOUR SURNAME  
(If your surname is longer than the grid allows, fill in as many characters that fit.)

FIRST INITIAL

|                                    |                                    |                                    |                                    |                         |                         |                         |                         |                         |                         |                         |                         |                         |                         |                         |                         |                         |                                    |
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## Step 3: Bubbling In Your Name and First Initial

- Write your Last Name and the First Initial (The first letter of your first name) in the boxes provided
- Bubble in the corresponding letter under each letter written in the boxes

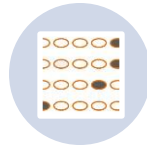
# How to Bubble in the Bubbles Properly



**Use a pencil, not  
a pen.**



**Fill each bubble  
completely.**



**Don't scribble or  
add a checkmark,  
color it in neatly.**



**Erase mistakes  
fully.**



## Other Tips

- **Double-check that all bubbles match your answers.**
- **Do not make holes in your bubbles, carefully fill them out without ripping the page.**
- **Don't fold or crumple the sheet.**
- **Keep the sheet clean, no other writing besides what is required.**
- **Hand it in carefully (don't fold etc).**



# Sequence Number

- Don't forget to record your sequence number and CIRCLE it on EVERY item submitted INCLUDING on your question paper as it will be separated
- Feel free to write it down and bring it with you
- Incorrectly completed scantrons may receive a grade of Zero (0)

**345**

Name: \_\_\_\_\_ Student ID Number: 12345678

Instructions:  
Please completely fill in the rectangle associated with your response. Example: ☒ A ☐ B ☐ C ☐ D ☐ E

|   | A                                   | B                                   | C                                   | D                                   | E                                   |   | A  | B                                   | C                                   | D                                   | E                                   |   | A  | B                                   | C                                   | D                                   | E                                   |                          | A | B   | C                                   | D                                   | E                                   |                                     |
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# How to Study



Review lecture content



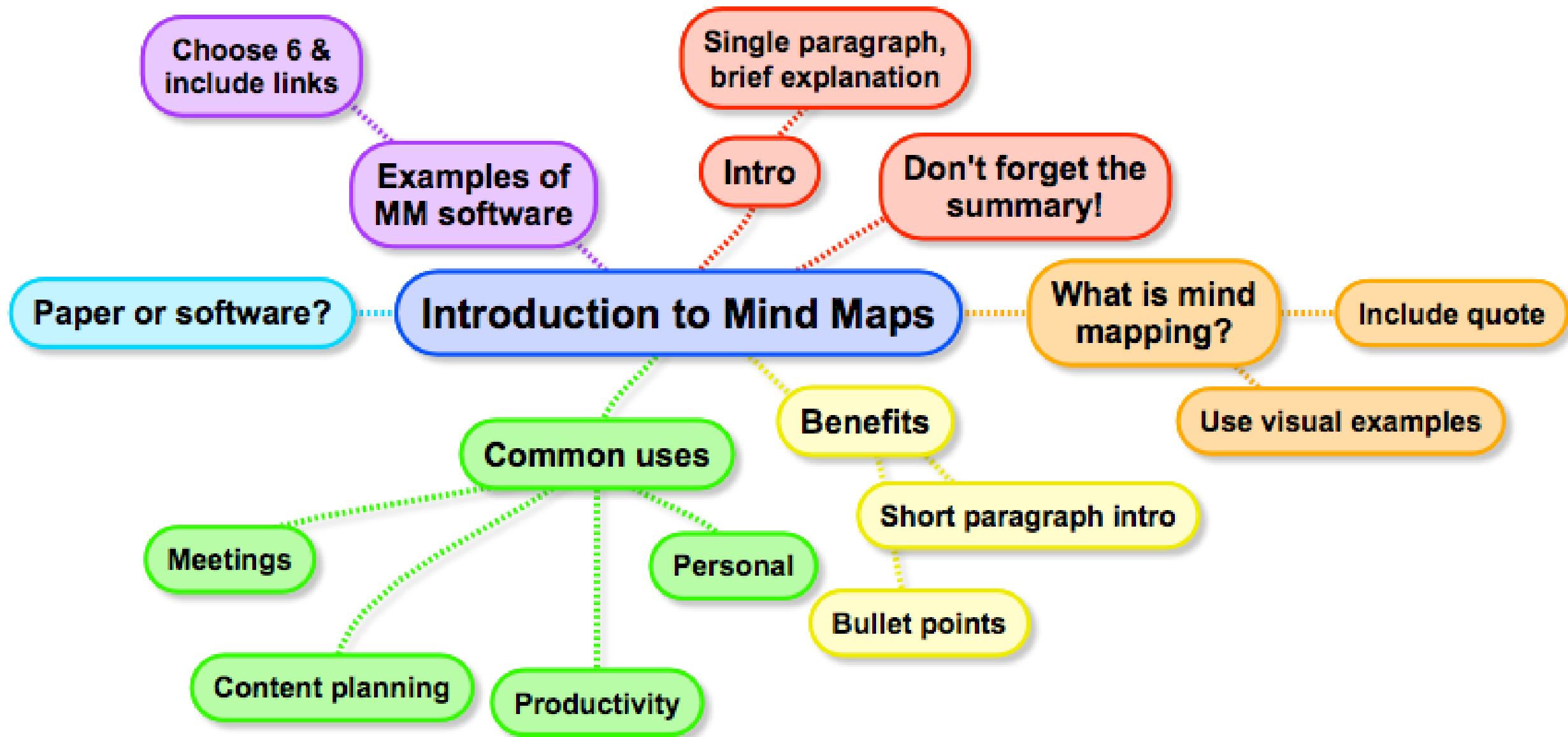
Review notes on  
textbook and other  
readings



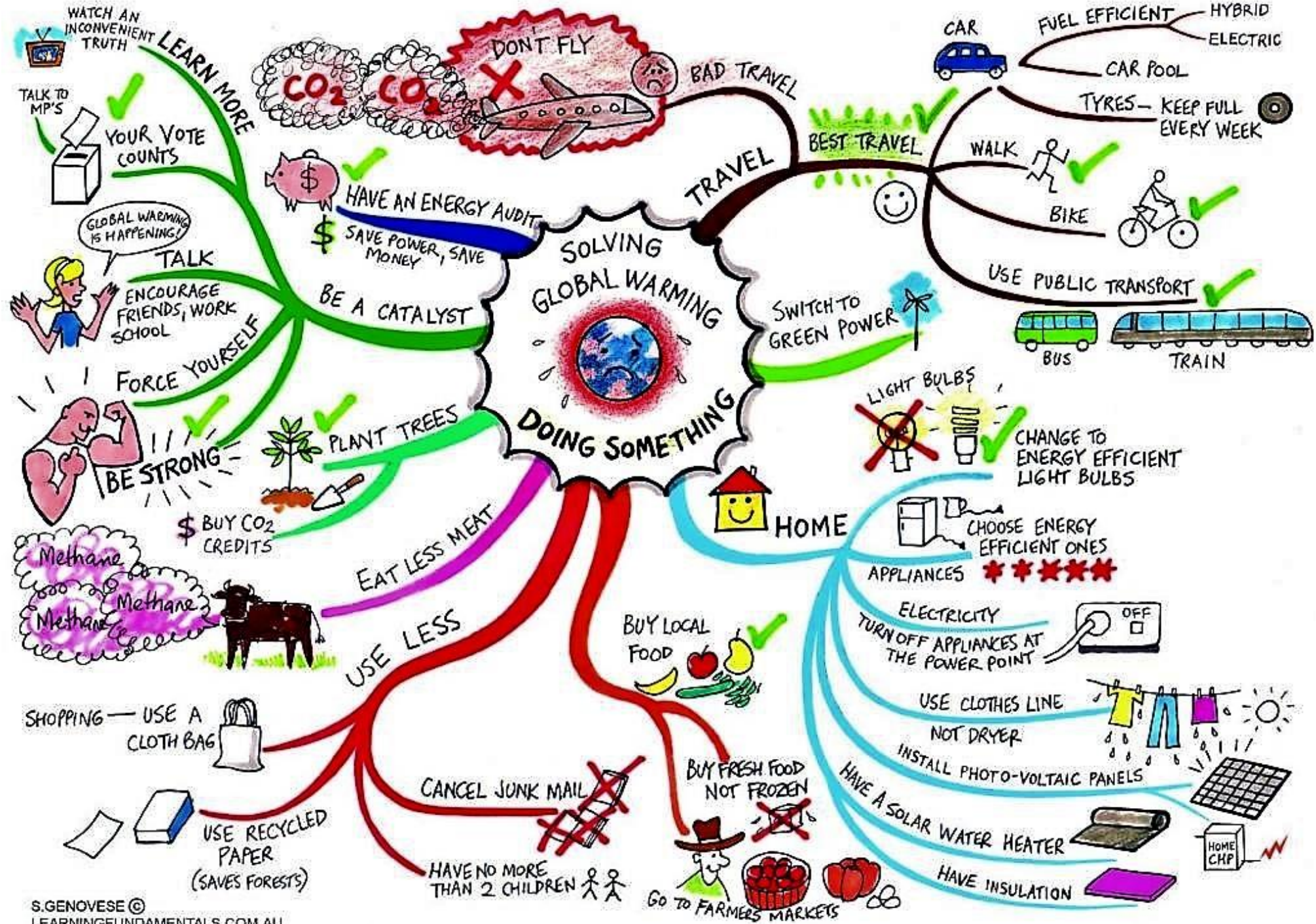
Prepare a mind map

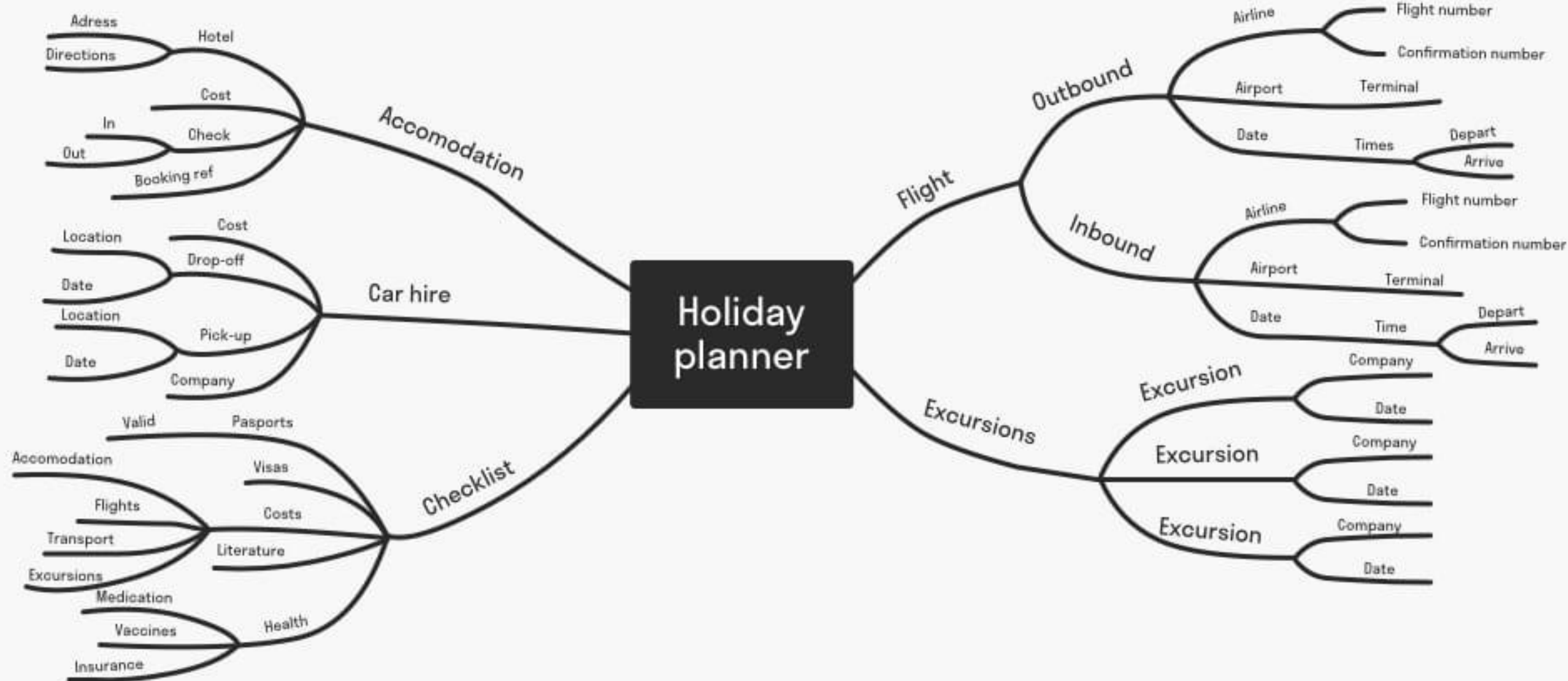


Prepare possible  
questions from lecture  
content that could be  
asked on the midterm  
and answer them









# Questions

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# Appendix

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# Definition (Merriam-Webster)

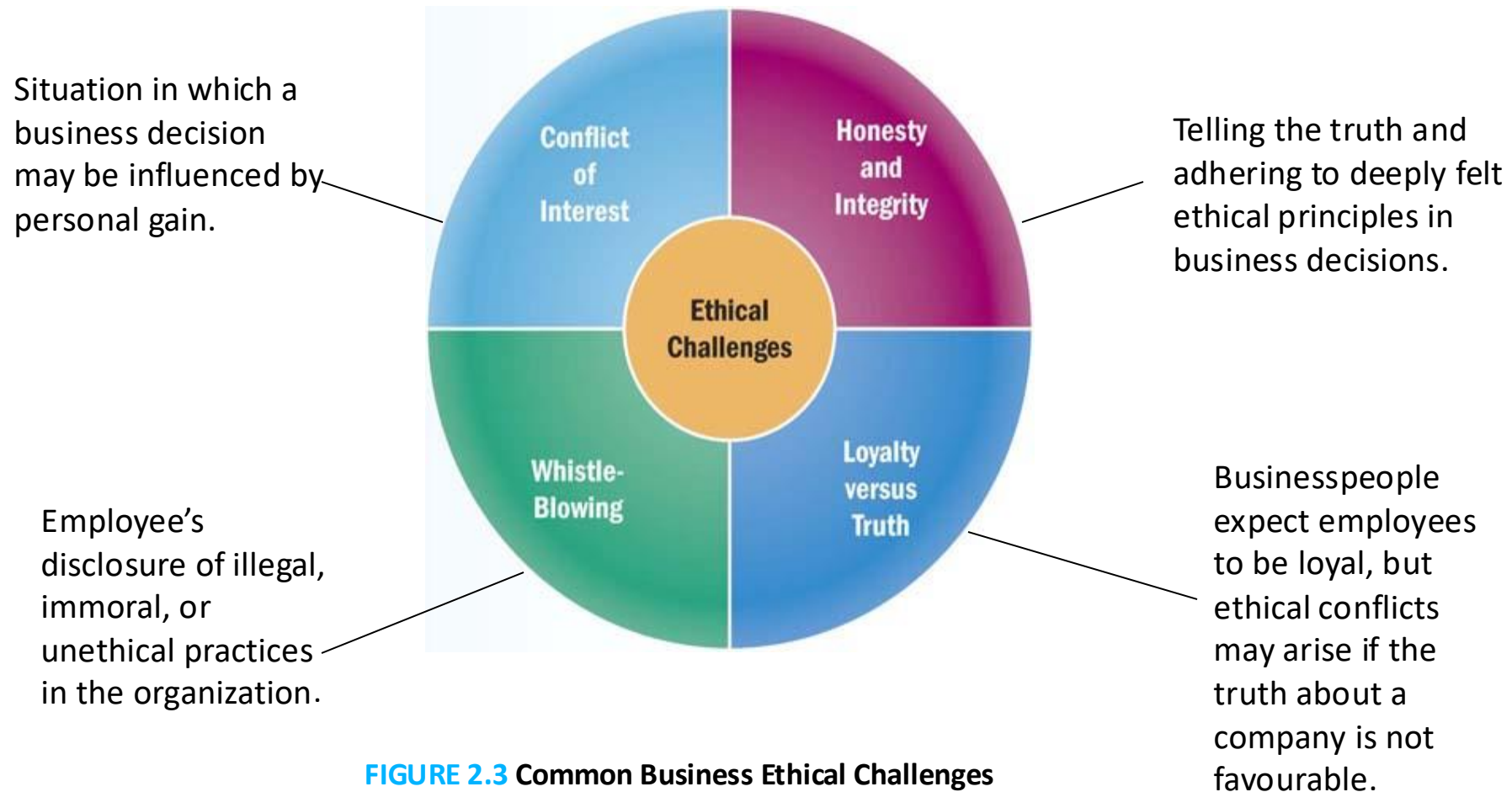
Main Entry: **eth·ic**

Pronunciation: 'e-thik

Function: *noun*

1. the discipline dealing with what is good and bad and with moral duty and obligation
2. **a:** a set of moral principles or values **b:** a theory or system of moral values <the present-day materialistic *ethic*> **c:** *plural but singular or plural in construction:* the principles of conduct governing an individual or a group <professional *ethics*> **d:** a guiding philosophy

# On-the-Job Ethical Dilemmas



# How Organizations Shape Ethical Conduct



Structure of an Ethical Environment

# The Enron Scandal



# A Fraud of Epic Proportions

**"This sober, informative chronicle of the biggest business scandal of the decade is INDECENTLY ENTERTAINING."**  
 - A.O. Scott, *The New York Times*

**"I NEVER UNDERSTOOD ENRON UNTIL NOW. TWO THUMBS UP."**  
 - Roger Ebert, *Ebert & Roeper*

**SPECIAL FEATURES** (in english seulement)  
 • Feature Commentary with Writer/Director Alex Gibney  
 • Deleted Scenes  
 • The Making of *Enron: The Smartest Guys in the Room*  
 • Conversations with Bethany McLean and Peter Elkind  
 • Firesign Theatre presents: *The Fall of Enron*  
 • Additional Enron Skits (selections from discovered scripts)  
 • Higher Definition: The Enron Show  
 • Where Are They Now?  
 • A Gallery of Enron Cartoons  
 • The original FORTUNE magazine articles  
 • An Index of Web Sites with the latest information

**ENRON: THE SMARTEST GUYS IN THE ROOM**  
 (ENRON : DERRIERE L'INCROYABLE SCANDALE)

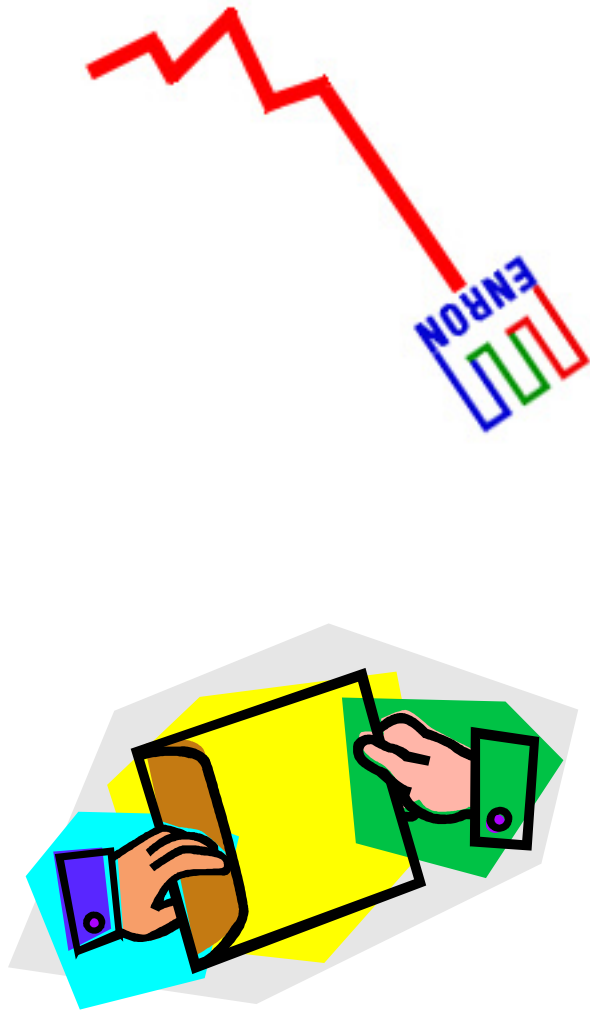
**COME SEE WHERE ALL YOUR MONEY WENT.**

*"It leaves you with the exhilarated sensation of understanding the defining financial scandal of the era."*  
 - Dave Karger, *Entertainment Weekly*

# ENRON Background



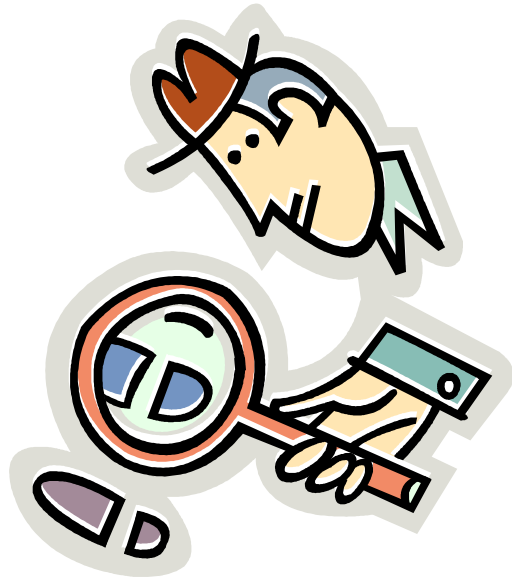
- Enron was created in 1985 with the formation of two large energy companies: Houston Natural Gas and InterNorth
- Kenneth Lay served as CEO throughout except in 2001 when Jeffrey Skilling, Chief Operating Officer at Enron held the title briefly for 8 months
- Enron was the 7th largest company in the U.S. when it declared bankruptcy in 2001



## How the Accounting Scandal was Carried Out

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- Accountant Richard Causey leaves Arthur Anderson, Enron's auditor to later become Chief Accounting Officer at Enron
- Starting in 1997, Enron begins creating off balance sheet special purpose entities (SPEs) and small partnerships such as ChewCo used to hide debt and inflate earnings



# Unable to Cover Up the Mess

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- The “shady” accounting practices threaten to ruin the company and Enron is forced to declare massive losses in its 2001 3<sup>rd</sup> quarter results followed by a series of restatements of the financial statements for the past 5 years
- The SEC becomes suspicious and launches an inquiry of Enron’s finances

# Complex (Illegal) Transactions

- SPE – Special Purpose Entity
- Hedges
- Derivatives
- Swaps
- Forward contracts
- Pre-paid contracts
- Wash Trading
- Prepays
- Tax Avoidance

## There Was More...

- Fake trading room
- Fees to accountants, lawyers, bankers, advisors
- Payments to directors
- Increased stock price
- And eventually...Whistleblowers

When it was  
Unraveled,  
the Auditors  
were Found  
to be in on it



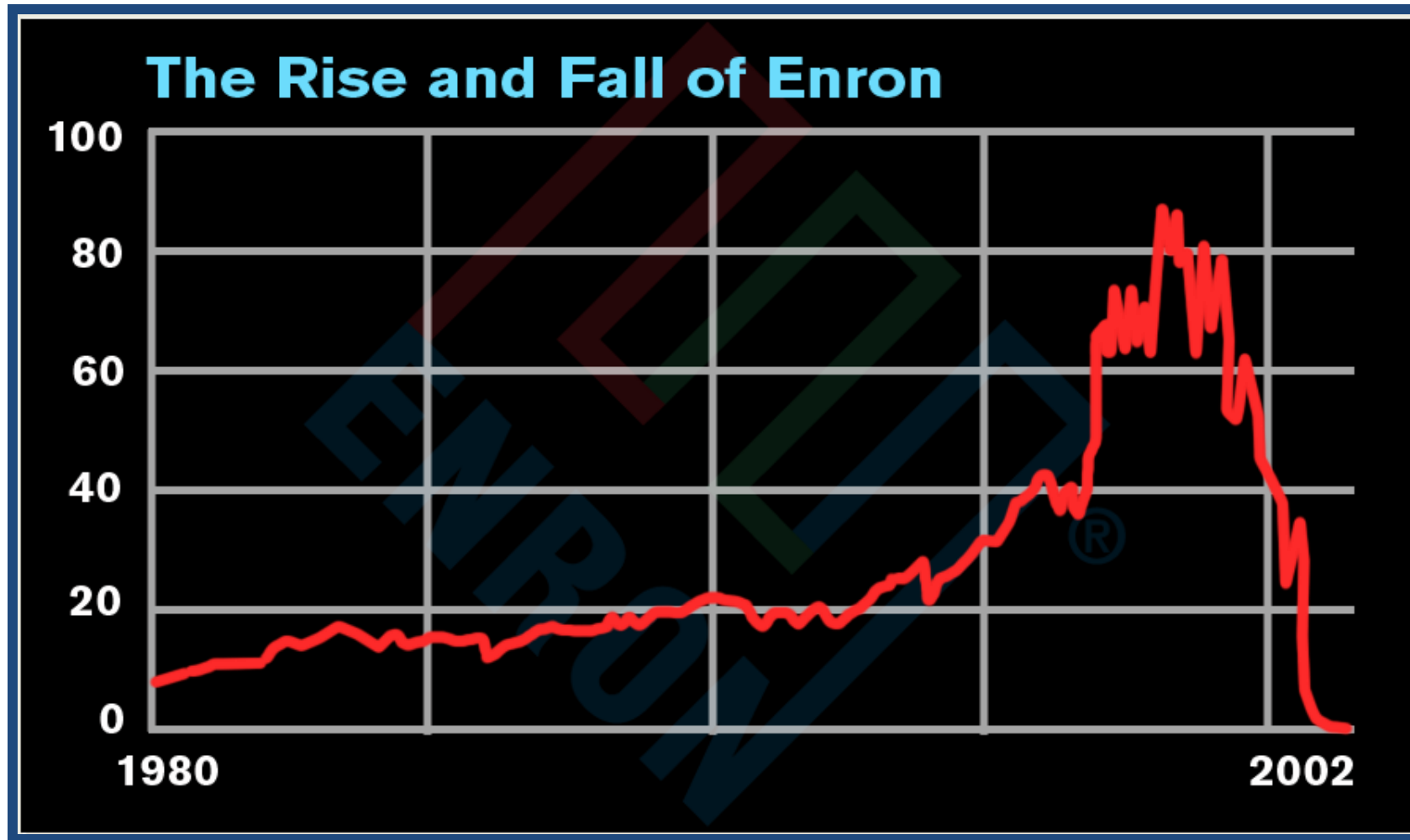
- Arthur Anderson served as both auditor and consultant for Enron and fees for their consulting services were as much as 5 times their auditing fees
- It was discovered, and later admitted by Arthur Anderson, that they helped destroy tons of Enron documents in the cover up



# Where They Went Wrong...

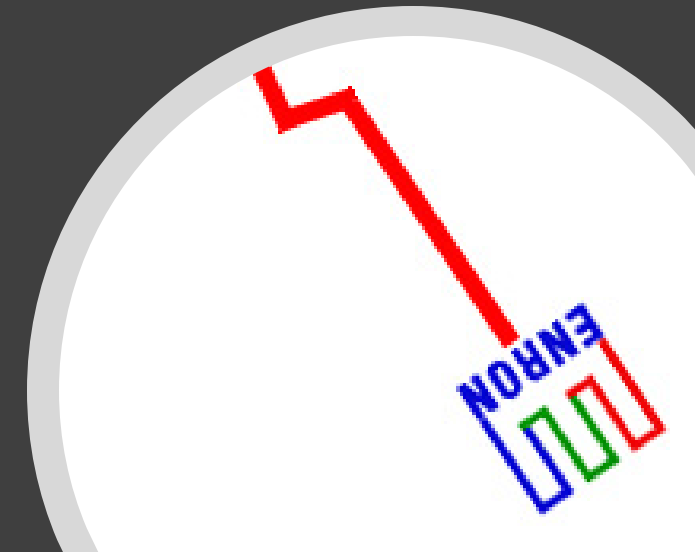
- Breached fiduciary duty
- Conflicts of interest
- Compensation
- Independence
- Oversight

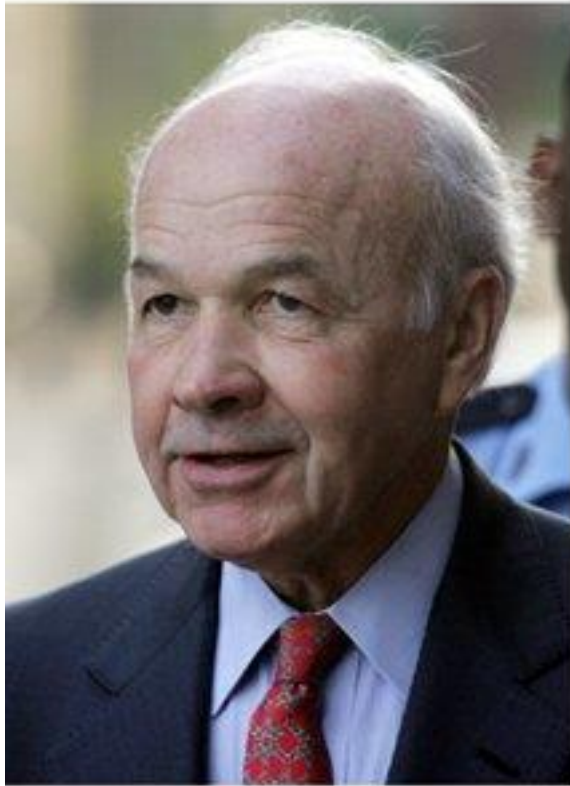
# Result



# Post-Enron Implications

- “The Big 5” Accounting firms became “The Big 4” after demise of Arthur Andersen
- Creditors owed more than \$63 billion by Enron have to settle for about 1/5 of that sum
- 5,600 people lose their jobs and \$2 billion pension
- U.S. Congress is forced to pass new accounting regulation under the Sarbanes-Oxley Act which encompass much stricter rules and greater accountability by management (Bill 198 aka CSOX in Canada)





Where Are They  
Now...

- Kenneth Lay (former CEO) and his protégé, Jeffrey Skilling, are found guilty of fraud and deceit on May 25, 2006
- Lay (64) dies of heart attack six weeks later
- Skilling (61) is currently serving his 24 year sentence

# Where Are They Now...



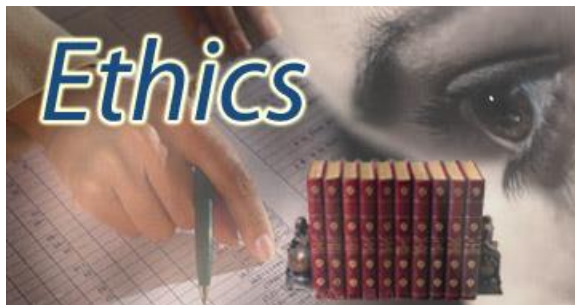
- Andrew Fastow (CFO) served 6 years in prison
- Received this reduced sentence in part for his cooperation in the trials against Lay and Skilling
- Lea Fastow (Andy Fastow's wife) served 1 year in prison for her involvement (filing false income tax returns)
- The prospect of her sentencing led to Andy's cooperation in return for joint plea agreements

## **Ethics Check Questions**

- Is it legal?
- Is it balanced? (win-win situation or skewed to one party)
- How will it make me feel about myself?
- Would society accept it?
- How would it look in the papers?

## **Six Steps to Improve Ethics**

1. Top management support.
2. Expectations begin at the top.
3. Ethics imbedded in training.
4. Ethics office set up – Whistle-blowers must feel protected.
5. External stakeholders informed.
6. There must be enforcement .



## Why Should Businesses be Managed Ethically?

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- o To maintain a good reputation
- o To keep existing customers
- o To attract new [customers](#)
- o To avoid lawsuits
- o To reduce employee turnover
- o To avoid government intervention
- o To please customers, employees and society
- o **TO DO THE RIGHT THING !**

## Academic Integrity in This Course

***Individual work means individual work***

- Exam preparation? I encourage you to work with friends/colleagues
- Exam writing? Do not give Arts and Sciences any reason to question you.

# Academic Integrity in This Course

***Behavior during exams reflects on  
your character***

- eyes on your own paper only
- DO NOT write the answers in large block letters in the margin
- Faculty and TAs will take action on exams to promote integrity, for the benefit of all of us

# Academic Integrity in This Course

If you are having trouble, seek help. Ask friends for help. Ask instructors for help. Ask Rotman Commerce for help (Academic Advisor). Ask the University of Toronto for help.

A few helpful links to resources to support student learning at UofT:

Accessibility

Services: <http://accessibility.utoronto.ca>

Academic Success Centre:

<http://www.asc.utoronto.ca/>

Student Life Programs & Resources:

<http://studentlife.utoronto.ca/>

# Individuals Make a Difference

- Individuals can make the difference in ethical expectations and behavior
  - Putting own interests ahead of the organization
  - Lying to other employees
  - Misrepresenting hours
  - Safety violations
  - Internet abuse
- Technology is expanding the range and impact of unethical behavior

# An Example of Ethics Close to Home – This Course



The Faculty of Arts and Sciences has a code of ethics regarding academic integrity

<http://www.artsci.utoronto.ca/osai>

You are accountable for complying with this code of ethics